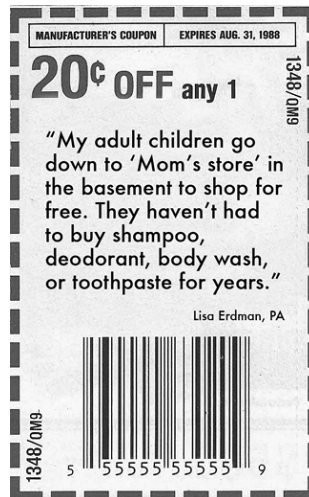




But why do I have the tendency to look at the money I “saved” with a coupon, instead of the money I spent? I am guilty of this every time I go to a Walgreens store and purchase items that are on sale with a register rewards promotion. If I buy a Gillette Fusion razor priced at \$9.99 and use a \$4 coupon, and that razor purchase triggers a \$4 register reward good towards my next purchase, I have often told my husband I got the razor for a mere \$1.99. What I actually *paid* was \$5.99. I tend to take into account the register reward before I even use it, applying it in my mind to the present purchase. I do the same with rebates. When Staples offers a \$4.00 rebate on a ream of paper that costs \$5.99, I view it as having paid \$1.99 for the paper, even before I send for the rebate. Why the skewed math in my mind?

Dan Ariely, Professor at Duke University, behavioral economist and author of *Predictably Irrational*, explains this phenomenon of looking at the money saved instead of the money spent in this way:

We play a game of funny math with rebates or register rewards. If you buy a \$10 item that comes with a \$4 register reward, in your mind